



A PRESENTATION ON COMPANY LAW

Formation of a Company in India

Procedure, Stages & Documentation under the Companies Act, 2013

What We Will Cover



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Meaning & Characteristics

What legally makes an entity a “company”



02

Types of Companies

Classification under the Companies Act, 2013



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Stages of Formation

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Incorporation via SPICe+

Documents, DSC/DIN, and the MCA filing process



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Fees, Timelines & Compliance

Costs, processing time and post-registration duties

Meaning & Characteristics of a Company

Section 2(20), Companies Act, 2013: *“Company means a company incorporated under this Act or under any previous company law.”*



Separate Legal Entity

Distinct from its members; can own property, sue and be sued in its own name.



Perpetual Succession

Existence is unaffected by death, insolvency or exit of members.



Limited Liability

Members' liability is limited to unpaid amount on their shares (usually).



Common Seal / Signature

Authenticates official documents on the company's behalf.



Transferability of Shares

Shares are freely transferable, unless articles state otherwise.



Artificial Legal Person

Created by law, has rights and duties, but acts through human agents.

Types of Companies

Under the Companies Act, 2013 — primarily classified by number of members and liability



By Number of Members

- **One Person Company (OPC)**
Single member; suited to solo founders (Sec. 2(62)).
- **Private Company**
2–200 members; restricts share transfer; “Pvt. Ltd.”
- **Public Company**
Min. 7 members, no upper limit; shares freely traded.



By Liability & Purpose

- **Limited by Shares**
Liability limited to unpaid value of shares held.
- **Limited by Guarantee**
Liability limited to a guaranteed amount (clubs, societies).
- **Section 8 Company**
Formed for charitable/non-profit objects; no dividend to members.
- **Holding & Subsidiary**
One company controls the composition/board of another.

Four Stages of Company Formation

Not every company passes through all four — private companies can commence business immediately on incorporation.



1. Promotion

Idea conceived; feasibility checked;
promoters arrange resources.



2. Incorporation

DSC, DIN, name approval, MOA/AOA
filed — Certificate of Incorporation
issued.



3. Capital Subscription

Public companies raise capital from
investors via a prospectus.



4. Commencement

Declaration (INC-20A) filed; company
legally starts business.

Promotion

Section 2(69): A “promoter” is a person who names the company in the prospectus, controls its affairs, or is instrumental in its incorporation.

Key Functions of a Promoter



Identify a viable business opportunity and evaluate demand.



Conduct technical, financial & economic feasibility studies.



Appoint professionals — CA / CS / advocate — for documentation.



Arrange initial finance and resources to set the venture in motion.



Settle the proposed name, objects and registered office.



Sign the Memorandum & Articles as first subscribers/directors.



Promoter's Fiduciary Duty: Promoters stand in a position of trust toward the company and must disclose any personal profit made during promotion.

Incorporation — Before You File

Two credentials every proposed director & subscriber must obtain first



Digital Signature Certificate (DSC)

- ✦ Class 3 DSC required for every subscriber & director
- ✦ Issued by a licensed Certifying Authority
- ✦ Must be registered on the MCA V3 portal before use
- ✦ Used to digitally sign SPICe+, MOA, AOA and INC-9



Director Identification Number (DIN)

- ✦ Unique ID for every individual acting as director
- ✦ Up to 3 new directors can get DIN via SPICe+ itself
- ✦ Existing directors simply quote their existing DIN
- ✦ PAN, Aadhaar & address proof needed to apply

Filing SPICe+ on the MCA Portal

STEP 1



Part A — Name Reservation

Propose up to 2 names (in order of preference) with the NIC business activity code. Approval in 1–3 working days; valid for 20 days.

STEP 2



Part B — Incorporation

Enter registered office, capital structure, directors & subscribers, objects. Linked to AGILE-PRO-S, e-MOA, e-AOA and INC-9.

STEP 3



Certificate of Incorporation

On approval, the Registrar of Companies (RoC) issues the COI with CIN, PAN and TAN — the company is legally born.



Typical turnaround: with DSCs registered and documents ready, incorporation is usually completed in 7–10 working days from filing.

SPICe+: One Form, Ten Registrations

A single integrated application replaces multiple separate government filings



Incorporation



DIN (up to 3)



PAN



TAN



GSTIN



EPFO



ESIC



Profession Tax



Bank Account



Name Reservation

Linked statutory forms: AGILE-PRO-S (GST/EPFO/ESIC/bank) · e-MOA & e-AOA · INC-9 (declaration)

Key Documents Required



Directors & Subscribers

- PAN card and Aadhaar card (self-attested)
- Proof of residential address (not older than 2 months)
- Passport-size photograph
- Signed Form DIR-2 (consent to act as director)
- Digital Signature Certificate (Class 3)



Registered Office

- Latest utility bill — electricity/gas/telephone (≤ 2 months old)
- No Objection Certificate (NOC) from the property owner
- Lease agreement or ownership/title documents
- Draft Memorandum & Articles of Association (MOA/AOA)
- Declaration by first directors & subscribers (INC-9)

Memorandum & Articles of Association



Memorandum of Association (MOA)

The company's charter — defines its scope and limits

- ◆ Name Clause — the company's name & type
- ◆ Registered Office Clause — state of domicile
- ◆ Object Clause — activities it can pursue
- ◆ Liability Clause — extent of members' liability
- ◆ Capital Clause — authorised share capital
- ◆ Subscription Clause — first subscribers' shares



Articles of Association (AOA)

The internal rulebook — governs day-to-day management

- ◆ Share capital & variation of rights
- ◆ Directors — appointment, powers & duties
- ◆ Board & general meetings, voting
- ◆ Dividends, accounts & audit
- ◆ Transfer & transmission of shares
- ◆ Winding-up related provisions

Government Fees & Timeline

RoC Incorporation Fee (by Authorised Capital)

Authorised Capital	Government Fee
Up to ₹15 lakh	NIL
₹15 lakh – ₹25 lakh	₹2,000
₹25 lakh – ₹1 crore	₹4,000
SPICe+ Part A (name filing)	≈ ₹1,000

Additional: DSC ≈ ₹1,500/director, state stamp duty (varies), professional certification fee.

1–3

days for name approval (Part A)

7–10

working days: filing to Certificate of Incorporation

180

days to file INC-20A after incorporation

Capital Subscription & Commencement



Capital Subscription

- ✦ Applies mainly to public companies raising funds from the public
- ✦ Company issues a prospectus inviting applications for shares
- ✦ Minimum subscription must be received before allotment
- ✦ Private companies typically raise capital privately — no prospectus needed



Commencement of Business

- ✦ Company must file Form INC-20A within 180 days of incorporation
- ✦ Applies to companies incorporated with a share capital
- ✦ Confirms subscribers have paid for their shares
- ✦ Penalty: ₹50,000 on the company + ₹1,000/day on defaulting officers

Post-Incorporation Compliance Checklist



Open a current bank account in the company's name



Hold the first Board Meeting within 30 days



Appoint the first statutory Auditor within 30 days



Maintain statutory registers & minute books



File INC-20A (commencement of business) within 180 days



Display name, CIN, registered office at every office

Key Takeaways



A company is a separate legal person with perpetual succession and limited liability.



Formation moves through Promotion, Incorporation, (Capital Subscription) and Commencement.



SPICe+ on the MCA V3 portal is a single window for incorporation and 9 linked registrations.



The MOA defines what a company can do; the AOA defines how it is run.



A well-prepared filing is typically incorporated within 7–10 working days.



Compliance doesn't end at incorporation — INC-20A and statutory duties follow.



Thank You

Questions & Discussion